

it perfectly, there's a 70% chance price will decline at least 10%. That's good to know.

Threat assessment. After you have correctly identified the horn, look at the surrounding price pattern. Is the stock trending higher and has it been moving higher for months now? If so, then the horn may signal an approaching top. Sometimes the horn calls the turn exactly while at other times it is off by a few months (usually it precedes the turn, but sometimes it lags).

If the horn appears in a downtrend, that is fine. The horn is simply implying that the trend will continue down. However, should the horn appear after an extended downtrend, then the possibility of further declines may be in jeopardy.

This behavior is especially true if the horn appears after a long downtrend when price is beginning to move up again (when it retraces some of its losses). Often the retrace signals a trend change. You will be buying into a situation in which you believe price will fall and retest the low, but price will dip slightly and then head higher.

Be cautious when selling short after a long downtrend, and be especially cautious if the downtrend has ended and the horn seems to mark the end of an upward retrace. Do not expect price to fall far. It does occasionally, but the majority of the decline has already passed.

Trend change. Even if a horn top fails to see price drop by more than 5%, there is a chance that the horn is a premature signal of a bearish trend change. Therefore, whenever you see a horn top, be aware that the end of an uptrend may be just a few months away.

Stop location. The discussion associated with [Table 44.7](#) describes where to place a stop. Be sure to convert the potential loss into a percentage of the breakout price. Can you tolerate such a loss?

For example, if you place a stop \$2 above the current price of \$10, that's a potential 20% ($100 \times 2/10$) loss. Many traders like to limit losses to 8% or less, so you may want to rethink the stop location.

Busted trade. A single busted pattern might be a good way to make some big bucks. Although you won't be able to tell that a horn top will single bust